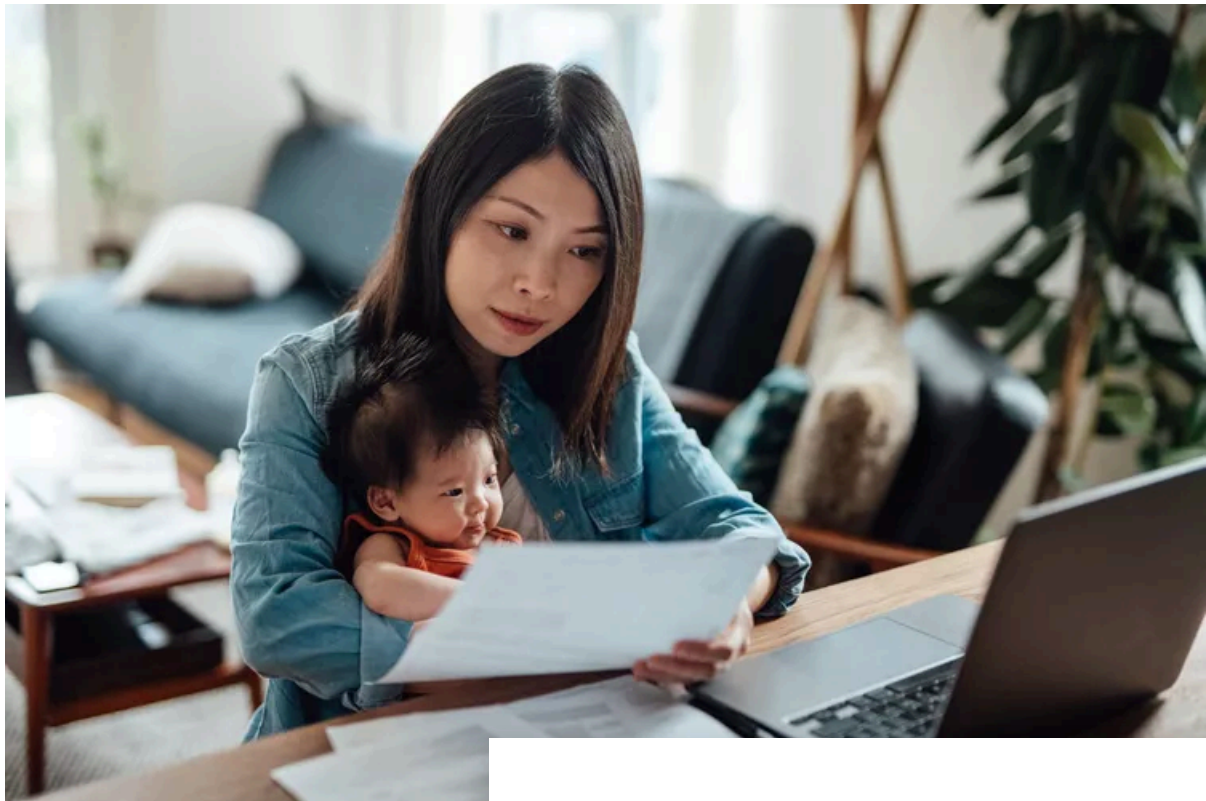


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How to Budget Money: Your Step-by-Step Guide

By AMY BELL Updated October 25, 2024Reviewed by PAMELA RODRIGUEZFact checked by SUZANNE KVILHAUG

Part of the Series

Future First: Money Lessons for Teens

Oscar Wong / Getty Images

A budget is a spending plan. It tells you what you'll spend this month.

Making one isn't easy—and sticking to it isn't easy either. Though it might not seem as bad as it sounds, budgeting is easier. Though it's possible that

[budget](#) will always feel like a burden—and that's okay—the reality is that

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In any case, here's how to get it done, and why it matters.

KEY TAKEAWAYS

- A budget is a spending plan.
- A budget uses information about what you spent last month to make a plan about what you'll spend this month.
- Having a budget keeps your spending in check and makes sure that your savings are on track for the future.
- Budgeting can help you set long-term financial goals, keep you from overspending, help shut down risky spending habits, and more.

How to Make a Budget

1. Track Your Spending

Spend a good amount of time going over your receipts and credit card statements. Ideally this should cover your spending for two or three months, so you can get a real idea of how much you spend in a given month. (If you're looking at a three-month period, for example, simply divide the totals by three to get an average month.)

You'll need to create categories for your spending: groceries, gifts, and so on. Try to limit the categories so it seems as simple as possible.

2. Separate Your Expenses into

After you've tracked your expenses, separate them into needs and wants. Another way of looking at this is [spending](#), which describes the money you need to on necessities, from work.

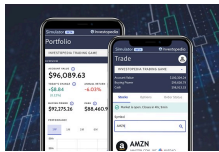
3. Make a Goal for Yourself

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suggests that you spend 50% of your budget on needs, 30% on wants, and 20% on your savings goals. The 70/20/10 budget, in contrast, says that you should spend 70% of your after-tax income on necessities and discretionary purchases, 20% on investments and savings, and 10% on debts or donations.

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One of the biggest things that will affect your ability to stick within these parameters is the cost of your housing. Though expert recommendations vary, one rule of thumb is that [your total housing costs should be no more than 28% of your gross monthly income](#). However, in some high-cost-of-living areas, it's easy to spend almost 50% of your budget on housing alone—which, with the 50/30/20 budget, gives you no wiggle room in the necessities category.

4. Adjust Your Spending

The next step is to compare how much you spend in an average month to your goal budget, such as the 50/30/20 budget. If you're spending too much on wants, then you'll need to make cuts. It's possible that you've found yourself in a state of [lifestyle creep](#), where your purchases.

Consider cutting back on purchases. At the moment to think about an item's necessity. Or could you go without?

5. Remind Yourself of Your Long-Term Goals

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require more sacrifice than others.

If a near-overhaul of your spending is what you're facing, you may want to emotionally prepare yourself for the challenge. One way to do this—and this can be helpful for anyone who sacrifices for their budget, even a little—is to remind yourself of what your long-term goals are. Why are you sticking to a budget? Is retirement looming? Are you saving for a major remodel? Whatever matters to you, keep it top of mind. This will help you stay strong when you're tempted to stray from your budget.

6. Return to Your Budget and Adjust as Necessary

A budget is not a set-it-and-forget-it thing. It's a living document that you change and edit as you live your life. You make adjustments as your spending changes, and as your life circumstances change. Every so often—every three or six months or so—return to your budget with an eye towards your categories and goals. Do you really need to devote that much money to that category? Can you cut back? Or do you need to expand that category, for some reason? Use these questions to fine-tune your budget on a regular basis. That way, it will reflect your life, rather than gather dust.

Why You Should Make a Budget

1. It Helps You Work Toward Long-Term Goals

A budget forces you to map out your goals, save your money, keep track of your progress, and make your dreams a reality. By seeing what money you earn and what money you have going out through a budget, you can create a map for where you need to go to get your goal. whether that is [purchasing a home](#) in a few years or going to graduate school.

★ TIP

Budgeting can also be used for more than just a tool or cashmere sweater in the closet. If you're saving for a goal, then a budget can help you unblock your path to that goal.

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For so many consumers, they don't have and we often talk to [credit cards](#). The average credit card debt per borrower rose to \$7,236 in Q3 of 2024, according to LendingTree. ^[1]

Before the age of plastic, people tended to know whether they were living within their means. At the end of the month, if they had enough money left to pay the bills and sock some away in savings, they were on track. These days, people who overuse and abuse [credit cards](#) don't always realize they're overspending until they're drowning in [debt](#).

However, if you create and stick to a budget, you're more likely to not find yourself in this position. You'll know exactly how much money you earn, how much you can afford to spend each month, and how much you need to save.

3. It Can Make Saving for Retirement Easier

Let's say you spend your money responsibly, follow your budget to a T, and never carry credit card debt beyond monthly due dates. In addition to spending wisely, budgeting can make saving more achievable.

It's important to build regular saving and investment contributions into your budget. If you set aside a portion of your earnings each month to contribute to your [individual retirement account \(IRA\)](#), [401\(k\)](#), or other retirement funds, you'll eventually build a nice [nest egg](#). Although you may have to sacrifice a little now, it will be worth it down the road.

Here's an example of how that could work: Let's say Trina started a new job last year and wants to take advantage of the employer's 401(k) plan and [matching contributions](#). She knows that in her paycheck in her budget as a building retirement savings. She [tax year](#), people her age (anyone \$23,000 to their 401(k), before er

So, using a calculator provided b
out that she should defer about
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retirement savings from her cash available for other expenses.

Note

In some cases, it may seem like a good idea to add larger amounts to your retirement account, but if it means that the reduction in disposable income will result in rising credit card and other debts incurred for everyday expenses, then boosting retirement savings could actually have a negative effect on your [bottom line](#).

Everyone's approach will vary based on their individual financial situation.

4. It Helps You Prepare for Emergencies

Life is filled with unfortunate surprises. When you get [laid off](#), face a costly, unexpected home repair, become sick or injured, go through a divorce, or have a death in the family, those circumstances can lead to serious financial turmoil. In these situations, an emergency fund comes in handy.

An [emergency fund](#) should consist of at least three to six months' worth of living expenses, and it should be accounted for when budgeting. This extra money will ensure that you don't dip into other funds saved for long-term financial goals, such as paying off debt.

Of course, it will take time to save [expenses](#). Don't try to place the fund right away. The best strategy is to set small, achievable goals, and start small. Even if you don't have a large sum, your fund will slowly build up. Budgeting tools provide tools for setting up an emergency fund approach.

5. It Can Reveal Spending Habits

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you don't need, such as a cable TV subscription. Budgeting allows you to rethink your spending habits and refocus your financial goals.

Taking a look at your expenses, you may see that one month, you spent more money on eating out than cooking at home. By reviewing your budget, you can make effective changes as a result. If you see that you're overspending target amounts set in your budget for such [discretionary](#) items, you may choose to adjust how much you commit to luxury or nonessential spending in lieu of saving for a new car or a major [home improvement project](#) that could potentially add to your place's resale value.

Why is a Budget Important?

A budget helps create financial stability. By tracking expenses and following a plan, a budget makes it easier to pay bills on time, build an emergency fund, and save for major expenses such as a car or home. Overall, a budget puts you on stronger financial footing for both the day-to-day and the long-term.

What is an Emergency Fund?

An emergency fund is a set number of months' (typically three to six) worth of living expenses set aside in case of an unexpected life event, such as employment termination, illness, or a hefty home repair bill.

What are Some Key Reasons to Have a Budget?

There are many reasons to have a budget, depending on the individual. A budget can often help build financial independence and freedom. A budget can also set you on the right path to achieving your financial goals, spending within your means, saving for retirement, and improving your spending habits.

The Bottom Line

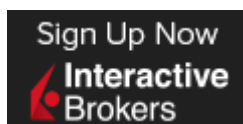
A budget is a [personal spending](#) plan that tracks income and expenses for a specified period to help you move toward financial security. Having a budget helps you keep your spending in check and assure that you are on track to meet your long-term goals, such as a comfortable retirement.

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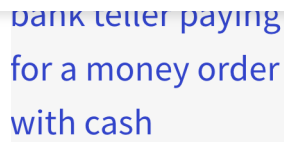
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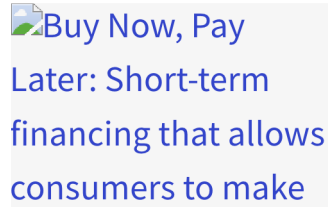
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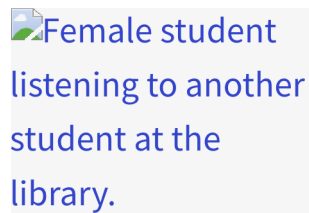


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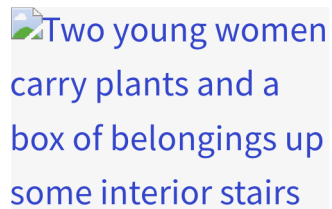


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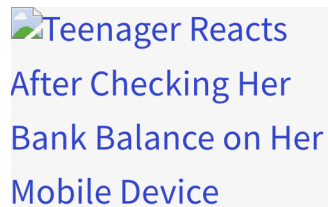


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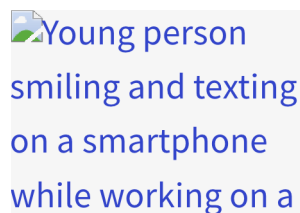


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